

Zepto AOV Improvement Strategy

Part 1: User Research & Segmentation

User Segment	JTBD	Current Behavior	AOV Potential
Emergency Shoppers	Get one item immediately	Search → Add → Checkout	Low
Replenishment Shoppers	Restock household essentials	Browse and buy multiple items	High
Convenience Professionals	Save time and avoid store visits	Buy daily-use products	Medium
Trust-Sensitive Shoppers	Buy reliably without quality issues	Stick to familiar products/categories	Medium-High

Key Insights

Observation	Evidence
Users are mission-driven	Most orders start with a specific need
Users stop after reaching free-delivery threshold	Mentioned in problem statement
Users rarely browse	Heavy reliance on search
Users perceive Zepto mainly as a grocery app	Limited category exploration
Trust concerns exist	Complaints around quality, refunds, and delivery delays

Part 2: Blockers & Core Problem

Blocker	User Behavior	Impact on AOV
Mission Completion	Users leave after fulfilling their primary need	Smaller baskets
Free Delivery Ceiling	Users stop adding products after threshold is reached	Basket growth stops
Limited Discovery	Users don't actively explore categories	Fewer cross-category purchases
Trust Deficit	Users hesitate to try fresh or unfamiliar products	Reduced experimentation

Core Problem Statement

Users are highly mission-driven and often stop shopping once their immediate need is fulfilled. Limited discovery, threshold-based spending, and trust concerns prevent users from adding more items and exploring new categories, resulting in lower AOV.

Part 3: Proposed Solutions

Solution	Addresses	How it works	Expected Impact
Progressive Reward Ladder	Users stop at free-delivery threshold	Multiple milestones (Free Delivery → Cashback → Rewards)	Higher basket value
Occasion-Based Bundles	Users don't browse	One-click bundles like Movie Night Pack, Breakfast Kit, Party Pack	More cross-category purchases
Trust-Led Category Expansion	Users hesitate to try new categories	Freshness guarantee, quality badges, easy replacements	Increased category adoption and larger baskets
Magic minute	Users repeatedly buy related products but must add them manually	Uses purchase history to suggest personalized combinations in one-tap	Faster checkout and higher basket size
One-tap pairs	Users forget items after reaching checkout/payment page	Provides a 60-second window to jump back, add missed items, and return to payment without restarting checkout	Reduces missed purchases and increases basket completion

Part 4: AOV Prioritization - RICE Framework

Solution	Reach (users affected)	Impact (if works, how much it will help)	Confidence (how sure)	Effort (how difficult)	Score	Priority
reward ladder	10	7	8	3	186.6666667	1
occasion-based bundles	5	10	8	5	80	2
trust-led category expansion	5	10	8	8	50	4
magic minute	8	5	8	8	40	5
one-tap pairs	8	8	5	5	64	3

Top Solution: Progressive Reward Ladder

Why Prioritize It Now?

- Directly addresses a blocker identified in the problem statement: users stop adding items after reaching the free-delivery threshold.
- Impacts the largest percentage of users since every user goes through the cart journey.
- Easier and faster to implement compared to operational changes required for trust-building initiatives.
- Provides immediate and measurable impact on Average Order Value.

Example

Current Journey:

₹185 Cart → Add ₹15 Item → Free Delivery → Checkout

Proposed Journey:

₹185 Cart → Free Delivery at ₹199 → Cashback at ₹299 → Rewards at ₹399 → Checkout

This encourages users to continue adding products even after unlocking free delivery.

Success Metrics

Metric	Why It Matters
Average Order Value (AOV)	Primary success metric
Average Items per Order	Indicates basket expansion
Orders Crossing Reward Milestones	Measures adoption of reward ladder
Cross-Category Purchase Rate	Tracks whether users add more diverse products
Reward Redemption Rate	Indicates engagement with incentives
Repeat Purchase Rate	Measures long-term effectiveness

Expected Outcome

By implementing the Progressive Reward Ladder, Zepto can increase basket size by motivating users to continue shopping beyond the free-delivery threshold, resulting in higher AOV while requiring relatively low implementation effort and offering high scalability.